RESERVE BANK OF INDIA

Methods of Credit Control by RBI

Quantitative & Qualitative Instruments of Monetary Policy

📊 Quantitative Methods

🎯 Qualitative Methods

🏛️ Monetary Policy

📈 Credit Regulation



RBI Headquarters · Mumbai

MONETARY POLICY • CREDIT CONTROL • BANKING REGULATION • ECONOMIC STABILITY

OVERVIEW

Credit Control Methods — At a Glance

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🏛️ The Reserve Bank of India employs two broad categories of credit control instruments to regulate money supply, control inflation, and ensure economic stability across India's banking system.

📊 Section 1 of 2

Quantitative Methods

Quantitative (General) methods regulate the **total volume** of credit in the economy without distinguishing between different uses or sectors of credit.

🎯 Primary Objective

To control the overall money supply and credit availability — expanding it during recession and contracting it during inflation.

⚡ Key Characteristic

These tools affect ALL sectors of the economy simultaneously and uniformly — they are non-discriminatory in nature.

QUANTITATIVE INSTRUMENTS

🏢 **Bank Rate Policy** →
Rate at which RBI lends to commercial banks

📈 **Open Market Operations** →
Buying/selling government securities

💰 **Cash Reserve Ratio (CRR)** →
Mandatory cash reserve with RBI

📋 **Statutory Liquidity Ratio (SLR)** →
Mandatory liquid asset maintenance

🔄 **Repo Rate** →
Short-term borrowing rate from RBI

↩️ **Reverse Repo Rate** →
Rate RBI pays on bank deposits

QUANTITATIVE METHOD — 01

Bank Rate Policy

📌 Also known as: **Discount Rate**

📖 Definition

The Bank Rate is the **minimum rate** at which the Reserve Bank of India is prepared to re-discount approved bills of exchange or lend money to commercial banks against approved securities on a **long-term basis** without any collateral.

How It Works

- When commercial banks need funds, they approach RBI and pay the Bank Rate as interest
- Changes in Bank Rate cascade to market interest rates — affecting borrowing costs economy-wide
- It is aligned with the Marginal Standing Facility (MSF) rate, forming the upper bound of RBI's policy corridor
- Unlike Repo Rate, Bank Rate involves no repurchase agreement — it is a direct lending rate

Current Bank Rate (2026)

5.50%

As per RBI Monetary Policy Committee

📈 Bank Rate Increases →

Borrowing becomes expensive → Credit contracts → Inflation is controlled → Money supply decreases

📉 Bank Rate Decreases →

Borrowing becomes cheaper → Credit expands → Economic activity stimulated → Money supply increases

QUANTITATIVE METHOD — 02

Open Market Operations (OMO)

📖 Definition

Open Market Operations refer to the **buying and selling of government securities** (bonds, treasury bills) by the RBI in the open market to regulate liquidity and money supply in the banking system on a durable basis.

Two Types of OMO

🟢 OMO Purchase (Buying)

RBI buys government securities from banks → Injects liquidity → Money supply increases → Interest rates fall → Credit expands → Stimulates economic growth

🔴 OMO Sale (Selling)

RBI sells government securities to banks → Absorbs liquidity → Money supply decreases → Interest rates rise → Credit contracts → Controls inflation

Key Features

🎯 Purpose

Manage durable liquidity in the banking system and influence short-term interest rates to achieve monetary policy objectives

⚡ Mechanism

Liquidity and interest rates are inversely proportional — more liquidity lowers rates; less liquidity raises rates

📊 Instruments Used

Government of India dated securities, Treasury Bills, State Development Loans

G-Sec Bonds | T-Bills | SDL

QUANTITATIVE METHOD — 03

Cash Reserve Ratio (CRR)

📖 Definition

CRR is the **minimum percentage of total deposits** that every scheduled commercial bank must maintain as cash with the Reserve Bank of India. Banks earn **no interest** on this reserve.

Formula

```
CRR = (Cash Reserve with RBI ÷ Net Demand & Time Liabilities) × 100
```

- Maintained as cash — banks cannot use this for lending or investment
- Directly controls the credit creation capacity of commercial banks
- RBI can change CRR without prior notice — a powerful and immediate tool
- Higher CRR = less money available for lending = tighter credit conditions

Current CRR (2026)

4.00%

Of Net Demand & Time Liabilities (NDTL)

📈 CRR ↑

Banks hold more cash → Less funds for lending → Credit contracts → Inflation controlled

📉 CRR ↓

Banks hold less cash → More funds for lending → Credit expands → Growth stimulated

💡 **Key Fact:** A 1% change in CRR can inject or absorb approximately ₹1.5 lakh crore from the banking system, making it one of the most powerful monetary tools.

QUANTITATIVE METHOD — 04

Statutory Liquidity Ratio (SLR)

📖 Definition

SLR is the **minimum percentage of Net Demand and Time Liabilities (NDTL)** that every scheduled commercial bank must maintain in the form of liquid assets — cash, gold, or approved government securities — before providing credit to customers.

✅ Eligible Liquid Assets

- 💵 Cash
- 🥇 Gold
- 📜 Govt. Securities
- 🏛️ Treasury Bills
- 📊 State Dev. Loans

- Unlike CRR, SLR assets can be held by the bank itself (not deposited with RBI)
- Banks earn returns on SLR assets (especially government securities)
- Serves dual purpose: credit control AND ensuring bank solvency/stability
- Higher SLR forces banks to invest more in govt. securities, reducing lending capacity

Current SLR (2026)

18.00%

Of Net Demand & Time Liabilities (NDTL)

📊 CRR vs SLR — Key Differences

Held with	**Bank itself (not RBI)**
Asset type	**Cash, Gold, G-Sec**
Interest earned	**Yes (on G-Sec)**
Current rate	**18% of NDTL**

💡 **Dual Purpose:** SLR not only controls credit but also ensures banks maintain adequate liquidity to meet depositor demands, safeguarding financial system stability.

QUANTITATIVE METHOD — 05

Repo Rate

📌 Full Form: **Repurchase Agreement Rate**

📖 Definition

Repo Rate is the **rate at which the RBI lends short-term funds** to commercial banks against the collateral of government securities, with an agreement to repurchase them at a predetermined price. It is the **key policy rate** of the RBI.

⚙️ How It Works

Banks sell government securities to RBI and receive funds → They agree to buy back the securities at a future date → The difference in price represents the Repo Rate interest

- Repo Rate is always **higher** than Reverse Repo Rate
- It is the **benchmark rate** — changes directly affect home loans, car loans, and all EMIs
- Reviewed by the Monetary Policy Committee (MPC) at least 4 times a year

Current Repo Rate (2026)

5.25%

As per MPC Review — February 2026

📈 Repo Rate ↑ (Hawkish)

Borrowing from RBI becomes costly → Banks raise lending rates → Loans become expensive → Demand falls → Inflation controlled

📉 Repo Rate ↓ (Dovish)

Borrowing from RBI becomes cheaper → Banks lower lending rates → Loans become affordable → Demand rises → Growth stimulated

🏛️ **Policy Corridor:** Repo Rate forms the *middle* of RBI's interest rate corridor, with MSF (5.50%) as the ceiling and SDF (5.00%) as the floor.

QUANTITATIVE METHOD — 06

Reverse Repo Rate

📖 Definition

Reverse Repo Rate is the **rate at which the RBI borrows money from commercial banks** — or equivalently, the rate at which banks park their surplus funds with the RBI. It is the **opposite** of the Repo Rate.

⚙️ How It Works

Banks deposit surplus funds with RBI → RBI pays interest at Reverse Repo Rate → Banks earn a safe return → Excess liquidity is absorbed from the system → Money supply decreases

- Always **lower** than Repo Rate — forms the floor of RBI's interest rate corridor
- When RBI raises Reverse Repo Rate, banks prefer to park funds with RBI rather than lend
- Primary tool for **absorbing excess liquidity** from the banking system
- Currently being replaced by the Standing Deposit Facility (SDF) as the floor rate

Current Reverse Repo Rate

3.35%

Unchanged — SDF (5.00%) now acts as effective floor

📊 Repo vs Reverse Repo

Direction	RBI → Banks	Banks → RBI
Action	RBI Lends	RBI Borrows
Rate (2026)	5.25%	3.35%
Effect	Injects Liquidity	Absorbs Liquidity

🎯 Key Purpose

When banks have excess funds, a higher Reverse Repo Rate incentivizes them to park money with RBI rather than lend, effectively reducing money supply and controlling inflation.

🎯 Section 2 of 2

Qualitative Methods

Qualitative (Selective) methods regulate the **direction and purpose** of credit — steering it toward or away from specific sectors, without affecting total credit volume.

🎯 Primary Objective

To control the *flow* of credit into specific sectors — encouraging lending to priority areas (agriculture, SMEs) while discouraging speculative or unproductive lending.

⚡ Key Characteristic

These tools are **discriminatory** — they target specific sectors, borrowers, or purposes rather than the economy as a whole.

💡 **Quantitative vs Qualitative:** While quantitative tools

QUALITATIVE INSTRUMENTS

Margin Requirements
Collateral cushion between loan value and security value →

Credit Rationing
Limiting total credit allocation by commercial banks →

Moral Suasion
Informal persuasion through advice and guidelines →

Direct Action
Coercive enforcement against non-compliant banks →

QUALITATIVE METHOD — 01

Margin Requirements

📖 Definition

Margin Requirement is the **difference between the market value of the security offered as collateral** and the amount of loan granted against it. RBI prescribes minimum margin requirements for loans against specific securities.

Formula

```
Margin = Market Value of Security − Loan Amount

Loan Amount = Market Value × (1 − Margin %)
```

- Higher margin → Borrower must provide more collateral → Less credit available → Discourages borrowing
- Primarily used to control **speculative lending** — especially in stock markets and commodity trading
- Different margins can be set for different sectors — selective in nature
- Protects banks from losses if collateral value falls (risk management)

📊 Numerical Example

Security Market Value	**₹1,00,000**
Margin Requirement	**40%**
Maximum Loan	**₹60,000**
Margin Amount	**₹40,000**

📈 Margin ↑

Less loan per unit of security → Credit contracts → Speculation curbed → Inflation controlled

📉 Margin ↓

More loan per unit of security → Credit expands → Investment encouraged → Growth stimulated

QUALITATIVE METHOD — 02

Credit Rationing

📖 Definition

Credit Rationing is the method by which the RBI **limits or controls the total amount of credit** that commercial banks can extend to borrowers. RBI fixes the maximum credit limit for each bank or for specific sectors of the economy.

Two Forms of Credit Rationing

1. **Variable Portfolio Ceiling**
   RBI fixes the maximum amount of credit that each commercial bank can provide — banks cannot lend beyond this ceiling
2. **Variable Loan Ceiling**
   RBI fixes the maximum loan amount for specific purposes or sectors — e.g., maximum loan against commodities

- Ensures credit flows to **priority sectors** like agriculture, MSMEs, and housing
- Prevents over-concentration of credit in speculative or non-productive sectors

🎯 Priority Sectors Benefited

🌾 Agriculture · 🏭 MSMEs · 🏠 Housing · 📚 Education · 🌿 Renewable Energy · 🏥 Healthcare

- RBI mandates that 40% of Adjusted Net Bank Credit (ANBC) must go to priority sectors
- Failure to meet targets results in banks contributing to RIDF (Rural Infrastructure Development Fund)
- Effective tool during inflationary periods to prevent excess credit creation

💡 **Key Insight:** Credit rationing is both a credit control tool AND a development policy instrument — it simultaneously manages money supply and promotes inclusive economic growth.

QUALITATIVE METHOD — 03

Moral Suasion

📖 Definition

Moral Suasion is a **psychological and informal method** by which the RBI persuades, advises, and requests commercial banks to follow its credit policies through oral or written communications — without using legal force or penalties.

📋 Forms of Moral Suasion

- 📝 Written Circulars
- 🗣️ Oral Advice
- 📢 Public Statements
- ⚠️ Warnings
- 📊 Guidelines
- 🤝 Appeals

- RBI uses its **moral authority** and prestige as the central bank to influence bank behavior
- No legal obligation — banks comply voluntarily out of respect and cooperative spirit
- Frequently used during **credit booms** to discourage excessive lending in specific sectors
- Effective when RBI has strong credibility and good relations with commercial banks

> *"The RBI's moral suasion works best when commercial banks trust the central bank's judgment and share its commitment to monetary stability and economic growth."*
>
> — Principle of Central Banking

✅ Advantages

- Flexible and quick to implement
- No legal complications
- Maintains good RBI-bank relations
- Cost-effective tool

❌ Limitations

- No legal enforcement power
- Banks may ignore advice
- Effectiveness varies by situation
- Depends on RBI's credibility

QUALITATIVE METHOD — 04

Direct Action

📖 Definition

Direct Action is the **most coercive and powerful** qualitative credit control tool, used by the RBI when commercial banks fail to comply with its guidelines, directives, or policies. It involves direct punitive measures against non-compliant banks.

⚡ Forms of Direct Action

🚫 **Refusal to Rediscount:** RBI refuses to rediscount bills of exchange or provide credit facilities to non-compliant banks

💸 **Penal Interest Rate:** RBI charges a penalty rate above the Bank Rate for credit demanded beyond prescribed limits

📋 **Restriction of Credit:** RBI restricts or withdraws credit facilities from banks violating norms

🔒 **Cancellation of License:** In extreme cases, RBI can cancel a bank's license or order its closure

📈 Escalation Ladder

1. Moral Suasion (Advice & Persuasion) →
2. Written Warnings & Directives →
3. Penal Interest Rates →
4. Refusal of Rediscounting →
5. License Cancellation / Closure

⚠️ Last Resort Tool

Direct Action is used as a **last resort** when all other methods fail. It is not used in isolation — it supplements other credit control measures and is invoked only when banks persistently violate RBI norms.